

Adaptive leaders are essential for navigating the complex challenges associated with this ever-changing environment.

The vital role of adaptive leaders who use empirical evidence to identify challenges within an organisation, and who solve these challenges through mobilising team members to come up with adaptive solutions. This leadership style enables organisations to identify opportunities, mitigate risks and be guided toward sustainable growth in South Africa's dynamic and competitive business environment.

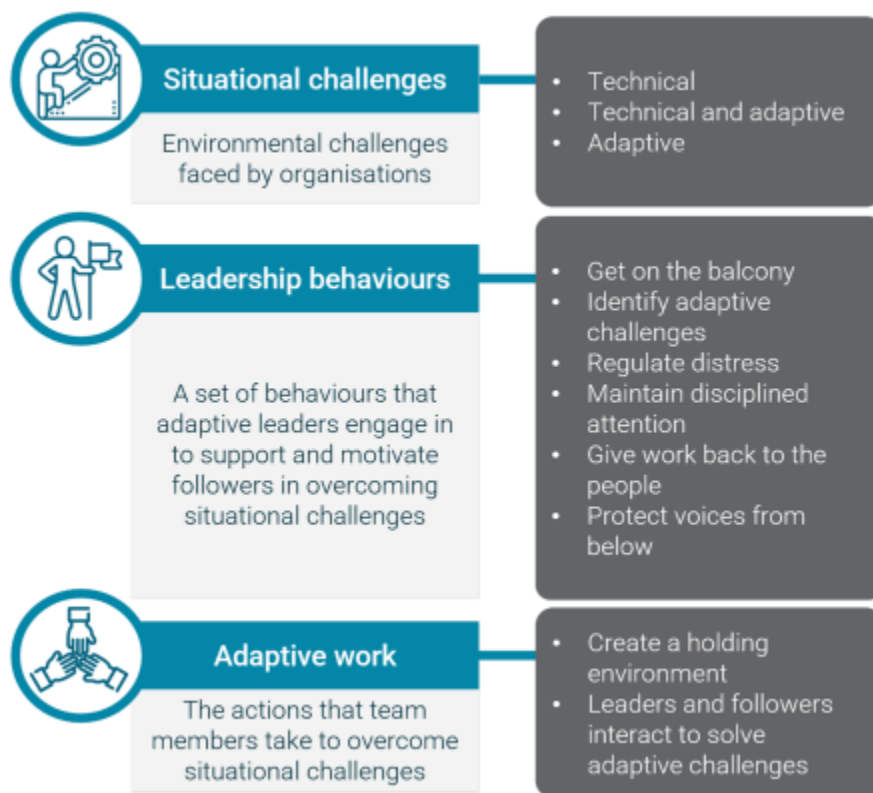
- *Adaptive leadership*: A leadership style that focuses on developing skills to overcome complex challenges that necessitate some form of change within an individual.
- *Business research*: An active fact-finding process that organisations embark on to answer a specific question or to solve a specific problem.
- *Data-driven leadership*: A leadership style that uses data to make decisions.
- *Decision support system (DSS)*: A computerised system that assists in gathering and analysing data from various sources to help reduce the risk in decision-making.
- *Empirical evidence*: Information that has been gathered through a documented method or experiment, which can be used to support an idea or a belief.
- *Generalisable data*: Knowledge or information that can be applied outside of the context in which it was created.
- *Out-group*: Individuals or groups who have differing ideas, opinions or experiences from the majority.
- *Qualitative data*: Non-numerical data that describes feelings, characteristics or qualities.
- *Quantitative data*: Numerical data that can be measured in values and numbers.
- *Trend analysis*: The process of analysing how a set of data changes or remains the same over time.

Adaptive leadership is an approach that is focused on followers, and that is aimed at assisting them in adapting to change and handling challenges with agility. According to Heifetz et al. (2009: 27), adaptive leadership involves mobilising individuals to confront difficult challenges and flourish. This approach emphasises leadership behaviours, rather than a leader's position or characteristics. Adaptive leaders are involved in various activities that inspire, prepare, co-ordinate, direct and centre the attention of individuals toward solving a common challenge (Heifetz et al., 2009: 33–38).

The adaptive leadership process incorporates the following four perspectives (Northouse, 2019: 393):

1. *Systems perspective*: This perspective presumes that many issues faced by people are entrenched in intricate, interactive systems.
2. *Biological perspective*: This perspective recognises that individuals develop and change by responding to both their internal cues and their external surroundings.
3. *Service-orientation perspective*: This perspective views the leader as using their expertise or authority to serve people, by identifying and defining their problems and helping them to find solutions.
4. *Psychotherapy perspective*: This perspective explains how individuals achieve adaptive work. Adaptive leaders recognise that individuals need a supportive setting and are better equipped to adapt when they confront challenging issues head-on, differentiate between their perception of reality and unrealistic expectations, resolve internal conflicts, and acquire new attitudes and behaviours to confront obstacles.

The model of adaptive leadership proposed by Northouse (2019: 396) consists of three main components, namely situational challenges, leadership behaviours and adaptive work. *Situational challenges* refer to the problems faced by the team, while *leadership behaviours* refer to how the leader motivates, mobilises, organises, orientates and focuses the attention of their followers on these challenges. The *adaptive work* occurs between the leader and their followers, and consists of the work that the followers must do to address and handle the situational challenges.



Situational challenges

Situational challenges that teams may face include challenges that are technical, adaptive, or both technical and adaptive in nature (Northouse, 2019: 398).

Technical challenges

Technical challenges refer to problems with clear-cut solutions that can be addressed by experts or individuals who possess a specific set of skills (Northouse, 2019: 398). These challenges are defined easily and can be resolved by established procedures within an organisation. Here, the leader's authority is acknowledged, and people expect the leader to

provide a solution. For example, a team leader could be expected to provide a solution to address a software virus in a company's online platform that is causing errors and preventing their customers from making purchases.

Technical and adaptive challenges

Challenges with both technical and adaptive elements necessitate the leader and their followers to share responsibility in solving the issue (Northouse, 2019: 399). While the objective may be straightforward, the solutions may not be feasible within the current organisational framework. In such cases, the leader may act as a resource for others, while the responsibility lies with the team members to learn to change and adapt as needed to solve the technical side of the challenge. For example, if an organisation needed to implement a new digital transformation strategy, an adaptive leader would be expected not only to help devise the strategy, but also to be aware of and available to support their team members in making any required cultural shifts in their approach to work and collaboration. Here, the technical aspect of the challenge lies in implementing the new strategy, while the adaptive aspect is the need for team members to adjust their previous approaches.

Adaptive challenges

Adaptive challenges are more intricate and require a different approach from the leader. They are not straightforward or easy to identify, and the leader's authority or expertise alone cannot produce solutions (Northouse, 2019: 400). Adaptive challenges necessitate leaders to encourage others to recognise difficult situations and to implement solutions. These challenges are complicated, as they often require changes in people's priorities, beliefs, roles or values. To address adaptive challenges, the leader must motivate people to address the difficult questions and concerns surrounding the problem. An example of a complex adaptive challenge facing an organisation could be addressing issues of workplace diversity and inclusion. Here, the solution would require a fundamental shift in the organisation's culture, values and mindset, and necessitate changes in the way that people interact, communicate and work together.

Heifetz and Laurie (in Northouse, 2019: 401–409) have developed a set of six leadership behaviours that adaptive leaders should practise. These behaviours should all be performed simultaneously – although, as you will see, there is a general order in which they would be applied to any situational challenge.

1. Getting on the balcony

‘Getting on the balcony’ is a metaphorical term used in the adaptive leadership model that refers to leaders stepping out of a challenging situation to gain perspective and observe the dynamics of the challenge (Northouse, 2019: 401). This provides the leader with an opportunity to view the situation from a broader perspective, enabling them to ‘identify value and power conflicts’, as well as other ‘dysfunctional reactions to change’ (Heifetz and Laurie in Northouse, 2019: 401).

By disassociating or removing themselves from the situation temporarily, leaders can gain a clearer view of the challenge, since they are not involved personally in all the smaller details. The leader can achieve this dissociation by:

- distancing themselves mentally and physically from the situation and those involved;
- creating a group of unofficial advisers for alternative discussions about organisational issues; or
- attending meetings as an observer, rather than as a participant.

Adaptive leaders are advised to step back from the conflict to observe it fully, but never to disengage entirely from it. Effective leaders move back and forth as participants and observers between the struggles of their people and the goals of the organisation or community (Northouse, 2019: 401).

Let’s consider an example. Imagine that you are the manager of a software team that is working on a critical project with a tight deadline. The team is struggling to keep up with the workload, and tensions are rising among team members. They are finding it challenging to collaborate effectively, and communication has become strained. As an adaptive leader, you could take some time away from the group to reflect actively on the situation, or you could gather feedback from individual team members to gain a more comprehensive view of the problem. You could also attend meetings or working sessions as an observer, and take note of how team members interact with each other. By doing so, you could gain a broader perspective of the group dynamics and identify any challenges in these dynamics that were not apparent before you ‘got on the balcony’.

2. Identifying adaptive challenges

Adaptive leadership requires leaders to not only observe and diagnose challenges, but also to distinguish between technical and adaptive challenges to ensure leadership success (Northouse, 2019: 402). As mentioned previously, technical challenges are those that can be addressed by the leader’s expertise, while adaptive challenges require the leader to identify whether they affect people’s beliefs, attitudes or values.

In the context of the software team example, the rising tensions and strained communication among team members suggest the presence of an adaptive challenge, given the emotionally charged nature of the situation. To diagnose the adaptive challenge, the manager should consider the four basic patterns, or archetypes, in need of adaptive change (Heifetz et al., 2009: 100–111). By identifying which archetype is present, the manager can develop a strategy to address the nature of the challenge more effectively.

Archetype	Description	Example
Gap between espoused behaviour and values	This archetype emerges when an organisation's stated values do not align with the actual behaviours and practices within the organisation.	An organisation claims to prioritise diversity and inclusion. However, their hiring practices and promotions often favour one demographic over others. Therefore, their actions do not align with their stated values. This can lead to a lack of trust among employees and stakeholders and, ultimately, hinder the organisation's success.
Competing commitments	This archetype emerges when an organisation's multiple commitments clash with one another.	An advertising agency has a commitment to deliver quality work to their clients, but at the same time, they must also meet tight deadlines. This creates a conflict of interest between the two commitments, and the agency may have to compromise on one to fulfil the other.

Speaking the unspeakable	This archetype is observed when there are sensitive or controversial issues that people do not want to confront, due to the perceived risks involved.	A call centre has a top-performing salesperson who engages in inappropriate workplace behaviour; however, management ignores it because of the individual's sales numbers. No one is willing to address the issue directly, as it is perceived as a risk to the organisation's success.
Work avoidance	This archetype is observed when difficult issues are avoided by staying within a 'safe zone' or by using diversionary tactics.	A company is struggling with employee turnover. However, instead of addressing the root causes of the problem, the leadership team spends more money on employee perks like free lunches, gym memberships and other superficial benefits to keep employees happy, hoping that this will alleviate the issue.

(Source: EDGE Education (Pty) Ltd, 2023; adapted from Heifetz et al., 2009: 100–111)

3. Regulating distress

People may become stressed when facing change. Adaptive leaders must be able to manage the distress that their team may feel when they are required to change some element of their internal environment (i.e. their attitudes, beliefs or behaviours). To do this, leaders can use a variety of strategies, such as (Northouse, 2019: 404–405):

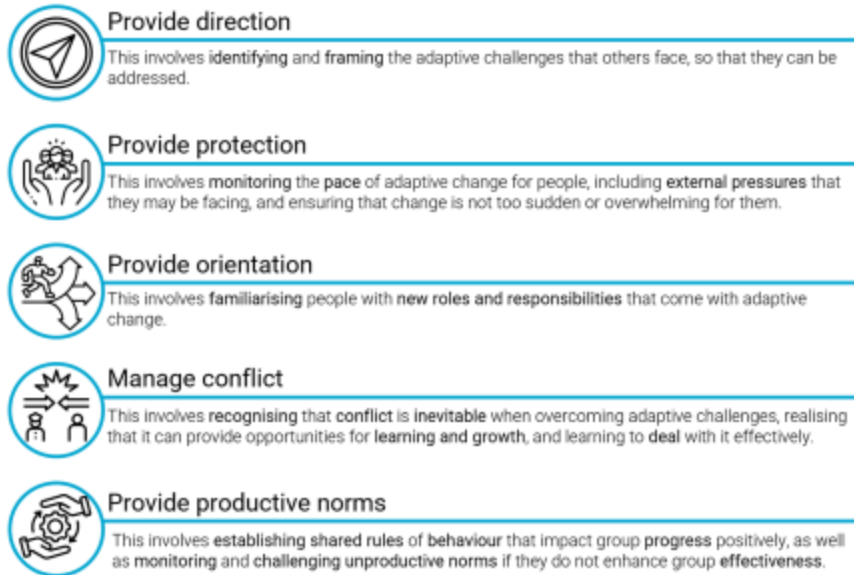
- creating a holding environment.
- providing direction, protection, orientation, conflict management and productive norms; and
- regulating personal distress.

Creating a holding environment

This involves establishing a safe atmosphere in which people can address difficult issues (Northouse, 2019: 404). This enables the leader to manage the pressures that people face when confronting adaptive challenges. A holding environment is formed by cohesive relationships between people, and it represents the space where adaptive leadership is performed – enabling leaders to help people attend to issues, orchestrate conflicting perspectives and facilitate decision-making. Here, parties can come together to discuss and define issues, clarify competing interests and needs, and agree on new contractual relationships (Northouse, 2019: 404).

Providing direction, protection, orientation, conflict management and productive norms

To help people to manage the uncertainty and distress that comes with adaptive work, there are prescribed behaviours that adaptive leaders can employ, as set out in the following figure.



(Source: *EDGE Education (Pty) Ltd, 2023; and Flaticon; adapted from Northouse, 2019: 405*)

Figure 1.2: Prescribed behaviours for regulating distress

Regulating personal distress

Another way for leaders to sustain a productive level of stress during adaptive change is by regulating their own distress (Northouse, 2019: 405). By withstanding pressures from those who want to avoid change, leaders can keep people focused on the difficult work that they need to do. Without proper stress regulation, the leader risks becoming a liability to the change process, and employees may begin to doubt their leadership. Therefore, regulating personal distress is essential to ensure that the leader is fully available to employees, which is critical to the success of the change process.

4. Maintaining disciplined attention

requires leaders to encourage their team to concentrate on difficult work – particularly when it involves changing beliefs, values or behaviours (Northouse, 2019: 406–407). Leaders must help their team to confront their problems by drawing attention to people's natural inclination to defend their decisions and actions, and to avoid change through ignoring problems that are difficult to face.

5. *Giving work back to the people*

Team members expect their leaders to provide guidance and structure, and to enable active participation in problem-solving. However, excessive authority can be counterproductive, as it can diminish individuals' confidence in their own problem-solving abilities and limit their creativity. Adaptive leaders must avoid being overly directive, as this can create dependency and hinder adaptive work. Leaders must learn to shift problem-solving responsibilities back to the people involved. This requires empowering employees to make decisions, expressing confidence in their ability to solve problems and encouraging independent thinking (Northouse, 2019: 407–408). One way to empower employees is by delegating a project to a team, but letting them decide how to approach it. This gives team members a sense of autonomy and empowers them to use their creativity and problem-solving skills.

6. *Protecting voices from below*

Adaptive leaders must be attentive to the ideas and opinions of marginalised or fringe members within their organisation. Although giving voice to out-group members (such as a co-worker who disagrees with the dominant group thinking) can disrupt the social balance and challenge the status quo, adaptive leaders should resist the temptation to ignore dissident voices (Northouse, 2019: 408). Shutting down minority voices to maintain the majority is counterproductive, and instead, leaders should strive to protect these voices.

This process requires leaders to relinquish some control and give other members more agency, which can be difficult. However, by giving a voice to out-group members, leaders can demonstrate that they value their ideas and actions. This can increase the involvement, independence and responsibility of those with a lower status, and help them

to feel that they are equal members in the planning and decision-making processes of the group (Northouse, 2019: 409).

Adaptive work

Adaptive work is the focus of adaptive leadership and is done primarily by team members through communication with their leaders (Northouse, 2019: 410). This work involves confronting changes in their roles, priorities and values within the holding environment. As such, establishing and maintaining the holding environment is a significant task for leaders.

An example of adaptive work can be seen in a company where a new CEO is appointed and wants to implement significant changes to their operations. The CEO recognises that the employees may resist these changes, since they are accustomed to the current way of doing things. To help the employees to adapt to the changes, the CEO creates a holding environment by setting up a series of meetings and open forums where employees can express their concerns and ask questions about the proposed changes. The CEO's role is to communicate with the employees in a way that supports them in their adaptive work, and helps to shift their values and perceptions to embrace the new changes. The employees' role is to engage actively in the meetings and forums to help facilitate changes within themselves and overcome the adaptive challenges.

1.3.2 The strengths and weaknesses of adaptive leadership

Adaptive leadership has been acknowledged as an effective leadership approach for organisations in a rapidly changing environment. Its strength lies in its ability to empower followers and create a holding environment where individuals feel safe and supported to address challenges. In addition, adaptive leaders are able to get people to:

- engage in adaptive work;
- promote positive change; and
- improve the overall performance of an organisation.

However, adaptive leadership has also been criticised for its lack of empirical research, being too broad and abstract, and not providing a direct explanation of the moral dimension.

Strengths of the adaptive leadership approach

In the following subsections, we will discuss a few of the strengths of the adaptive leadership model, namely its follower-centred approach, adaptive challenges, adaptive work, the holding environment and practicality.

Follower-centred approach

According to Northouse (2019: 412), 'adaptive leadership underscores that leadership is not a trait or characteristic of the leader, but rather a complex transactional event that occurs between leaders and followers in different situations'. In this approach, much of the power to change the outcomes in a team setting lies in how followers take ownership of these outcomes, and how they choose to interact with each other and their leader to achieve these outcomes. In this sense, followers within a team may sometimes take on the role of the leader, in order to solve a particular challenge. This leads to a positive learning experience for followers.

Adaptive challenges

Before the adaptive leadership approach was developed, leadership was thought of from a top-down perspective, in that a leader's job was to provide easy solutions to problems faced by a group of people (Heifetz and Linsky, 2002: 13). Adaptive leadership, however, recognises that internal change and learning are often necessary to confront adaptive challenges. Therefore, this approach focuses on helping followers to confront their personal values (such as the belief that working harder is always better, or that good ideas come only with age), and adjust them as needed for change and adaptation (Northouse, 2019: 412). This provides both leaders and followers with the opportunity to grow, as well as unlearn and/or relearn as required.

Adaptive work

Adaptive leaders mobilise people to engage in adaptive work by emphasising follower involvement and growth. Adaptive leaders create holding environments, where others can share new ideas and experiment with problem-solving without fear of criticism. This enables followers to develop, expand and adapt their ability to solve challenges. By doing so, adaptive leaders help to equip their followers with the skills and tools necessary to confront future challenges, which is beneficial in both the organisational and personal contexts (Northouse, 2019: 412).

Holding environment

Change and adaptation require individuals to confront difficult issues that can often be uncomfortable and stressful to address, such as a manager not doing their job, or a co-worker living with a mental health disability that is affecting their work. This is why the adaptive leadership approach emphasises the importance of a safe and supportive holding environment, where individuals feel comfortable and secure to address these challenges, which is crucial for successful adaptive work (Northouse, 2019: 413). By creating a holding environment, adaptive leaders foster a culture of trust, respect and collaboration, where lateral bonds are developed. This enables individuals to engage in adaptive work without fear of failure or reprisal. This, in turn, creates a more resilient organisation that can adapt to changing circumstances and thrive in the long run.

Practicality

As mentioned previously, adaptive leadership offers a specific set of behaviours for leaders to adopt. Through these behaviours, adaptive leadership provides a practical, prescriptive and actionable approach for leaders to mobilise their followers to engage in adaptive work (Northouse, 2019: 412).

Weaknesses of the adaptive leadership approach

Alongside its strengths, the adaptive leadership approach has several weaknesses, which include a lack of empirical research, a need for further refinement, its broad and abstract nature, and the risk of victimisation.

Lack of empirical research

The adaptive leadership approach was intended originally as a practical framework to construct theories. As such, it relies on concepts and presumptions, rather than established research. The lack of data to support the assumptions of the model requires us to think critically about its applicability in various organisational situations (Northouse, 2019: 414).

Need for further refinement

Adaptive leadership was created as a hands-on leadership approach, consisting of a set of instructions for leaders to support individuals in carrying out adaptive work to overcome

challenges. However, the approach has been criticised, as its key elements (such as adaptive work and leadership behaviours), and how they interconnect to facilitate adaptive work, could be defined more clearly (Northouse, 2019: 414).

Broad and abstract nature

Adaptive leadership is often criticised for being ‘too wide-ranging and abstract’ (Northouse, 2019: 414). The prescriptive behaviours outlined by some of the original authors (e.g. ‘getting on the balcony’) may become overwhelming to someone new to a leadership position, due to the sheer breadth of the prescribed behaviours in these texts. In addition, some find that the recommended leadership behaviours often lack specificity and conceptual clarity, making it difficult to assess them in research or put them into practice (Northouse, 2019: 414).

Risk of victimisation

Although adaptive leadership theory emphasises the importance of innovation and experimentation within a safe holding environment, Dugan (in Nelson and Squires, 2017: 120) has critiqued the theory, stating that there is no practical evidence that those who do take risks will indeed be protected by the leader, especially if these risks are counter to the leader’s agenda.

Exercise 1A

- i. In your own words, describe the three components of the adaptive leadership model.
- ii. Consider the following hypothetical scenario and answer the question that follows.

An established print media company faces an adaptive challenge when transitioning to digital media, where the solutions require a fundamental shift in the company’s business model, culture and operations, and necessitate changes in the way that people create, distribute and consume content.

Required:

Apply the adaptive leadership model to address the challenge presented in this

scenario.

- iii. Consider the following hypothetical scenario and answer the question that follows.

An established retail company with a strong presence in physical stores faces an adaptive challenge as they seek to transition into the realm of e-commerce. The adaptive leader communicates the need for change, and encourages innovative thinking and a culture of experimentation within the company.

Required:

In a table format, critique the application of the adaptive leadership model in this scenario by referring to two strengths and two weaknesses of the approach.

- i. The adaptive leadership model is composed of three components: situational challenges, leadership behaviours and adaptive work. *Situational challenges* refer to any problems faced by an organisation, and they can be technical, adaptive, or both technical and adaptive in nature. It is the adaptive leader's responsibility to identify and diagnose situational challenges. *Leadership behaviours* involve the ability to mobilise people and resources to address the challenges at hand, and to manage the distress that comes along with adaptive change. Finally, *adaptive work* refers to the process of diagnosing problems and developing solutions that can address the challenges effectively. Adaptive work is the responsibility of team members, although the adaptive leader needs to support their team throughout the process.
- ii. The need to shift from print to digital media is the situational challenge in this case, which will require a fundamental shift in the company's business model, culture and operations. The adaptive leader would need to mobilise followers to address the challenge by communicating and building support for the need for change and creating a sense of urgency for developing solutions. During this process, the leader must be aware of any distress arising within the team, and try to ensure that this does not impact on their ability to adapt and face the challenges. While the adaptive leader is mobilising people and resources to address the challenge, the team would commence with the adaptive work. This could involve identifying new revenue streams, developing a digital content strategy, upgrading technology and

infrastructure, and identifying training and development needs. While the team members are responsible for this work, the adaptive leader must support and guide them throughout the process.

iii. Answers may vary. The following serves as a guide.

Strengths	Weaknesses
<i>Follower-centred:</i> By fostering collaboration and encouraging innovative thinking, the adaptive leader empowers team members to take ownership of the e-commerce transition. This approach taps into their diverse perspectives and expertise, leading to better solutions and increased commitment to the change.	<i>Lack of empirical research:</i> The absence of extensive research specific to transitioning a retailer to e-commerce may pose a risk. Without clear guidance from empirical studies, the adaptive leader must be cautious about focusing on the right areas within the company to overcome the challenges associated with the transition.
<i>Holding environment:</i> The leader's emphasis on innovation and experimentation creates a safe and supportive environment. Team members feel comfortable taking risks and making	<i>Broad and abstract nature:</i> Inexperienced leaders may find the wide range of behaviours associated with adaptive leadership overwhelming. This could divert their focus from the specific challenges of

mistakes, and learning from them. This fosters growth and enhances the team's ability to address adaptive challenges effectively, which ultimately improves their problem-solving skills.	transitioning to e-commerce.
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(Source: *EDGE Education (Pty) Ltd, 2023*)

Table 1.1: Strengths and weaknesses of adaptive leadership

1.4 Data-driven decisions and adaptive leadership

The increasing availability of data and analytical tools enables leaders to gain insights into their organisation's operations, identify areas for improvement and, ultimately, make data-driven decisions. Business research is a systematic inquiry that can provide leaders with valuable data to guide their decision-making. It involves research planning, data collection, data analysis and interpretation, and disseminating data and insights to decision-makers. The purpose of business research is to provide insights that enable an organisation to take appropriate actions that maximise performance (Cooper and Schindler, 2014: 4). Business research can be beneficial to organisations on various levels – from informing them about market opportunities and consumer preferences, to competition, return on investment and business trends. Furthermore, leaders can use business research to inform their leadership behaviours and practices.

For example, employee satisfaction and engagement surveys can help leaders to understand the attitudes and opinions of their staff, which can inform human resource (HR) decisions. In addition, research on the effectiveness of training and development programmes can help organisations to make decisions about how to allocate resources for professional development and education.

Conducting business research is an active process that is aimed at understanding one or more aspects of an organisation. However, exchanges between organisations and their customers, members or constituents also generate a wealth of data that can be organised into a *decision support system*, or DSS (Cooper and Schindler, 2014: 8–9). A DSS is a tool that can help leaders to organise information derived from different sources, and predict

outcomes when the best course of action is not clearly visible. A DSS is useful in environments where leaders need to address each problem differently, as it assists them to respond promptly to situations and to consider various ways of addressing problems (Sauter, 2010: 17–19). Furthermore, data from a DSS may inspire the question of whether to conduct business research (Cooper and Schindler, 2014: 9).